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SMART REVISION QUESTION BANK

PART 1

THE INDIAN CONTRACT ACT, 1872
(Units 1 - 9)

- Application-Based Questions
- Model Answers
- Questions from Previous Exams
- Revision & Practice Framework

IN-DEPTH PREPARATION | BETTER UNDERSTANDING | HIGHER SCORES



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SMART REVISION QUESTION BANK

PART 1

THE INDIAN CONTRACT ACT, 1872

Units 1 to 9

Application-Based Questions · Model Answers · Examiner's Answer-Writing Framework

Includes Solved Questions and Answers from the September 2026 paper

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Contains the complete Unit 2 — Consideration

And part Unit 9 - Agency

Part 2 of this Question Bank covers the remaining enactments of the syllabus —

Indian Regulatory Framework
The Sale of Goods Act, 1930
The Indian Partnership Act, 1932
The Limited Liability Partnership Act, 2008
The Companies Act, 2013
The Negotiable Instruments Act, 1881

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About Us

The Law कक्षा Learn. Practise. Excel.

The Law Kaksha was created with a simple belief: understanding a concept is only the beginning of learning. True preparation begins when you learn to apply that understanding to questions, situations and problems.

For CA Foundation students, studying Business Laws involves more than remembering provisions and definitions. It requires developing the ability to read a question carefully, identify the relevant legal principle, apply it to the given facts and arrive at a reasoned conclusion.

Yet, one of the challenges students often face is finding sufficient structured practice beyond their regular study material. While the ICAI Study Material, RTPs, MTPs and previous year papers remain essential to examination preparation, additional practice can help students strengthen their conceptual understanding and build confidence in applying the law.

That is where The Law कक्षा comes in.

We aim to create learning resources that bridge the gap between studying concepts and practising their application. Our question banks are designed to encourage active learning, structured revision and thoughtful problem-solving, helping students approach their preparation with greater clarity and purpose.

Through chapter-wise questions, application-based case studies, exam-oriented practice and detailed solutions, we seek to make the learning process more organised and meaningful.

We believe that students do not simply need more content. They need the right opportunities to practise, reflect, identify gaps in their understanding and improve.

The Law कक्षा is a learning space built around that belief.

Because learning the law is not just about knowing what a provision says. It is about understanding when, why and how it applies.

Learn with clarity. Practise with purpose.

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Preface

The Indian Contract Act, 1872 is the largest chapter in Paper 2, and the one students believe they've finished long before they have. It reads easily: offer, acceptance, consideration, free consent. That readability is exactly what makes it dangerous. The confidence it creates collapses the moment a problem is set instead of a definition asked.

This is Part 1 of a two-part Question Bank, covering all nine units of the Act. Part 2 covers the remaining enactments of the syllabus — the Sale of Goods Act, 1930; the Indian Partnership Act, 1932; the Limited Liability Partnership Act, 2008; the Companies Act, 2013; and the Negotiable Instruments Act, 1881 and Indian Regulatory Framework.

Nothing here replaces the ICAI Study Material, or the RTPs, MTPs, and past papers that remain the floor of preparation. What this book adds is the layer above that floor: fact comprehension and structured application, reading a set of facts accurately, and applying the right provision to them. That is what recent papers, most visibly May and September 2026, have shifted toward testing, and it is what most students are still not prepared for.

Every model answer here follows a labelled three-step form — Provision, Application, Conclusion — explained in full in "How to Use This Question Bank."

Errors are possible in a work of this size. Where you find one, please write to us — it will be corrected.

Disclaimer:

This Question Bank is prepared by The Law कक्षा for educational purposes only, to assist CA Foundation students in Business Laws. It is a study aid and not a substitute for the bare Act or ICAI's official material — please cross-verify with the latest amendments. All names and scenarios used are fictional; any resemblance to real persons or events is coincidental. This material is for the personal use of the enrolled student only — unauthorised reproduction or distribution is prohibited and may attract legal action.

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How to Use This Question Bank

Unit Overviews

Every unit in this book opens with a short Unit Overview — an exhaustive list of the topics, sections, and concepts covered in that unit. This is not a summary meant to replace reading the unit, and it should not be relied on as a substitute for working through the questions themselves. Its purpose is narrower and more practical: at the time of revision, it lets you glance at one page and check off what you already know cold, and what still needs another pass, before you go back into the questions.

Structure of Each Unit

Every unit in this book is organised into three parts.

- **Part A — Case Study Based Questions.** Fact-pattern problems, built the way the examiner builds them — a scenario involving named parties, dates, and specific circumstances, followed by a question that asks you to apply the law to those facts.
- **Part B — Descriptive Questions.** These test the provision itself — definitions, exceptions, distinctions (e.g., penalty vs. liquidated damages), and theory-based questions that ICAI continues to ask directly, even in a paper otherwise weighted toward application.
- **Part C — Examination Question.** The recent ICAI papers of September 2026 and May 2026 are reproduced here in full, with its official mark split, so you can see exactly how the unit has actually been tested — sub-parts included, even where a sub-part belongs to a different unit.

The Answer-Writing Framework

Every suggested answer to a Part A case study follows a fixed three-step structure:

1. Provision — the governing section, stated in the language of the Act, with the section number.

2. Application — the provision mapped onto the specific facts given, naming the parties.

3. Conclusion — the answer to the question actually asked.

This is not a stylistic choice; it mirrors how marks are actually allotted in a problem-based question. A correct conclusion without the provision behind it earns very little; naming the provision without applying it to the facts earns even less. Writing in this order, every time, is the single easiest improvement most candidates can make to their score.

Part B answers follow the same discipline wherever a provision is being explained, but are structured to fit the descriptive format — definition, explanation, and illustration where relevant.

Suggested answers for all three parts are placed **at the end of each unit, part by part**, and not at the end of the book. Attempt the question first — ideally in a separate notebook — and check your answer against the model while it is still fresh.

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UNIT 2: CONSIDERATION

(Sections 2(d) and 25)

Learning Outcomes

- **Concept of Consideration:** Define Consideration (quid pro quo) and understand its double aspect (benefit to promisor / detriment to promisee).
- **Legal Rules:** Grasp legal rules of consideration, including how consideration may move from the promisee or a third party.
- **Privity of Contract:** Understand the 'Doctrine of Privity of Contract' (a stranger to a contract cannot sue) along with its critical exceptions.
- **No Consideration Rule:** Analyse the rule 'No Consideration, No Contract' (Sec 25) and its statutory exceptions.

Overview

- **Definition (Sec 2(d)):** An act, abstinence, or promise done/made at the desire of the promisor by the promisee or any other person.
- **Rules of Consideration:** Must move at the desire of promisor (Durga Prasad v. Baldeo); May move from promisee or third party (Chinnayya v. Ramayya); May be past, present, or future; Need not be adequate; Cannot be an existing legal duty.
- **Privity of Contract:** Stranger to consideration CAN sue, but stranger to a contract CANNOT sue.
- **Exceptions to Privity Rule:** Beneficiary under Trust, Family Settlement, Marriage arrangements, Assignment of contract, Estoppel/Acknowledgement, Covenants running with land, Contracts via Agent.
- **Exceptions to 'No Consideration, No Contract' (Sec 25):** 1. Natural Love & Affection (Written, Registered, Near relation) | 2. Past Voluntary Services | 3. Time-Barred Debt (Written & Signed) | 4. Agency | 5. Completed Gifts | 6. Bailment | 7. Charity.

High-Priority Topics for the Examination

1. Exceptions to the Doctrine of Privity of Contract (Stranger to contract cannot sue) [Tested in May 2026 Paper].

2. Exceptions to 'No Consideration, No Contract' (Sec 25) — Focus on Natural Love & Affection, Past Voluntary Services, and Time-Barred Debts.

3. Legal Rules of Consideration (Third-party consideration and inadequacy of consideration).

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Part A — Case Studies

Question 1. Privity of Contract and Consideration from a Third Party

Smt. Radhabai, an elderly lady of Pandharpur, gifted her landed property to her daughter Sushila by a registered deed, with a direction that Sushila shall pay an annuity of ₹12,000 every year to Radhabai's sister Vimal (i.e., Sushila's maternal aunt). On the same day, Sushila executed a writing in favour of her aunt Vimal agreeing to pay the annuity.

Sushila paid the annuity for two years and thereafter stopped the payment, contending that her aunt Vimal was a stranger to the gift deed between Radhabai and herself, that no consideration whatsoever had moved from Vimal, and that therefore Vimal cannot maintain any suit against her.

Advise on the following matters:

(i) State the doctrine of privity of contract and the rule regarding the person from whom consideration may move under the Indian Contract Act, 1872.

(ii) Whether Vimal can recover the annuity from Sushila despite not being a party to the gift deed and despite no consideration having moved from her.

(iii) State any two other exceptions to the doctrine of privity of contract.

Analysing the applicable provisions of the Indian Contract Act, 1872, advise Vimal.

Question 2. No Consideration, No Contract and its Exceptions

Mr. Madhav, out of natural love and affection for his younger brother Keshav, orally promised to pay him ₹2 lakh to help him set up a small business. Later, on the advice of his lawyer, Madhav executed a written and registered document promising to pay the said sum, but subsequently refused to pay, saying that Keshav had given nothing in return.

During a fire in Madhav's warehouse, his neighbour Mr. Salunkhe voluntarily rushed in and saved goods worth several lakhs at considerable personal risk. Touched by this, Madhav promised to pay Salunkhe ₹25,000 as compensation for what he had done, but has now gone back on his word.

Madhav also owed ₹50,000 to Mr. Trivedi, which had become time-barred under the Limitation Act. On Trivedi's persistent requests, Madhav signed a written promise to pay him ₹30,000 out of the time-barred debt.

Advise on the following matters:

(i) Whether Keshav can enforce the promise of ₹2 lakh, and what difference the written and registered document makes.

(ii) Whether Salunkhe can recover ₹25,000 promised for his past voluntary services.

(iii) Whether Trivedi can recover ₹30,000 on the basis of the fresh written promise, though the original debt is time-barred.

Analysing the provisions of Section 25 of the Indian Contract Act, 1872, advise the parties.

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Question 3. Legal Rules of Consideration

Mrs. Patwardhan, with her free consent, agreed to sell her car worth ₹6 lakh to her neighbour Mr. Nadkarni for ₹1 lakh only, as she was migrating abroad and wanted a quick disposal. After the agreement, her son objected to the low price, and she now wishes to avoid the contract on the sole ground that the consideration is grossly inadequate.

In the same locality, the Municipal Council announced a reward for information leading to the detection of persons illegally dumping construction debris. Head Constable Pawar, who was already posted on duty to patrol the very same area, furnished such information in the course of his duty and now claims the reward from the Council.

Meanwhile, at the desire of the Collector of the district, Mr. Joshi constructed a row of shops in a newly developed market at his own expense. A shopkeeper, Mr. Lele, who occupied one of the shops, promised to pay Mr. Joshi a commission on the articles sold through his shop in consideration of Joshi having constructed the market, but later refused to pay.

Advise on the following matters:

(i) Whether Mrs. Patwardhan can avoid the contract merely on the ground of inadequacy of consideration.

(ii) Whether Head Constable Pawar is entitled to the reward for performing what was already his official duty.

(iii) Whether Mr. Joshi can recover the promised commission from Mr. Lele.

Analysing the applicable provisions of the Indian Contract Act, 1872, advise the parties.

Part B — Descriptive Questions

Question 4. Exceptions to the Doctrine of Privity of Contract [Asked in May 2026 Examination]

Briefly discuss the exceptions to the rule “Doctrine of privity of contract” as laid down under the provisions of the Indian Contract Act, 1872.

Question 5. Exceptions to ‘No Consideration, No Contract’

“An agreement made without consideration is void.” Discuss the exceptions to this rule as provided under Section 25 and other provisions of the Indian Contract Act, 1872.

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Suggested Answers — Part A

Answer 1. Privity of Contract and Consideration from a Third Party [Section 2(d)]

(i) The doctrine and the source of consideration

The doctrine of privity of contract means that a person who is not a party to a contract cannot sue upon it, even if the contract is for his benefit [*Dunlop Pneumatic Tyre Co. v. Selfridge & Co. (1915)*]. However, under Section 2(d), consideration may move from the promisee 'or any other person'; hence, in India, a stranger to the consideration can sue, though a stranger to the contract ordinarily cannot.

(ii) Claim of Vimal

Provision: In *Chinnaya v. Ramayya (1882)*, on identical facts, an old lady gifted property to her daughter with a direction to pay an annuity to the lady's sister, and the daughter executed a writing in favour of the sister; it was held that the sister could recover the annuity, since consideration had moved from a third party (the mother) and the arrangement was in the nature of a family settlement, which is a recognised exception to the doctrine of privity.

Application: Consideration for Sushila's promise moved from Radhabai in the form of the gifted property; Vimal is a stranger to the consideration but the beneficiary of the arrangement, and Sushila had herself executed a writing in Vimal's favour.

Conclusion: Vimal can recover the annuity of ₹12,000 per year from Sushila; Sushila's contentions are not tenable.

(iii) Other exceptions to privity

(a) A beneficiary under a trust or charge created by the contract can enforce it (b) where a party acknowledges his liability to a third person, or by his conduct creates an estoppel, the third person can sue; (c) assignee of a contract; (d) contracts entered into through an agent; (e) covenants running with the land.

Answer 2. No Consideration, No Contract [Section 25]

(i) Promise out of natural love and affection

Provision: Under Section 25(1), an agreement made without consideration is valid if it is expressed in writing, registered under the law relating to registration of documents, and is made on account of natural love and affection between parties standing in a near relation to each other. All four conditions must co-exist.

Application: The original oral promise did not satisfy the conditions and was void for want of consideration. The subsequent written and registered document, made out of natural love and affection between brothers who are near relatives, satisfies all the conditions of Section 25(1).

Conclusion: Keshav cannot enforce the oral promise, but he can enforce the written and registered promise of ₹2 lakh.

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(ii) Compensation for past voluntary services

Provision: Under Section 25(2), a promise to compensate, wholly or in part, a person who has already voluntarily done something for the promisor is enforceable, even though made without consideration.

Application: Salunkhe voluntarily saved Madhav's goods from fire without any request; Madhav's subsequent promise of ₹25,000 is a promise to compensate past voluntary services.

Conclusion: Salunkhe can recover ₹25,000 from Madhav.

(iii) Promise to pay a time-barred debt

Provision: Under Section 25(3), a promise, made in writing and signed by the debtor or his authorised agent, to pay wholly or in part a debt which is barred by the law of limitation, is enforceable without fresh consideration.

Application: Madhav signed a written promise to pay ₹30,000 out of the time-barred debt of ₹50,000; the promise satisfies the requirements of the section to the extent of the amount promised.

Conclusion: Trivedi can recover ₹30,000 (and not the full ₹50,000) on the basis of the fresh written and signed promise.

Answer 3. Legal Rules of Consideration

(i) Inadequacy of consideration

Provision: Consideration need not be adequate; it must only be real and lawful. Explanation 2 to Section 25 provides that an agreement to which the consent of the promisor is freely given is not void merely because the consideration is inadequate, though inadequacy may be taken into account by the court in determining whether the consent was free.

Application: Mrs. Patwardhan sold the car with her free consent, with full knowledge of its value, for reasons of her own convenience. Inadequacy of price is the only ground urged.

Conclusion: She cannot avoid the contract merely on the ground of inadequacy of consideration; the sale at ₹1 lakh is binding.

(ii) Performance of an existing legal duty

Provision: The performance of an act which a person is already legally bound to perform is no consideration for a promise; a public servant cannot claim a reward for merely doing his official duty [*Collins v. Godefroy*; India: reward cases of public officers].

Application: Head Constable Pawar was already under an official duty to patrol the area and detect such offences; in furnishing the information he did nothing beyond his existing legal duty.

Conclusion: He is not entitled to the reward, as there is no consideration moving from him.

(iii) Act done at the desire of a third party

Provision: Under Section 2(d), consideration must be furnished at the desire of the promisor. An act done at the desire of a third party is not consideration for the promise. In *Durga Prasad v. Baldeo*

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(1880), shops were built at the desire of the Collector, and a shopkeeper's promise to pay commission to the builder was held unenforceable.

Application: Mr. Joshi constructed the market at the desire of the Collector and not at the desire of Mr. Lele, the promisor; Lele's promise is therefore without consideration.

Conclusion: Mr. Joshi cannot recover the promised commission from Mr. Lele.

Suggested Answers — Part B

Answer 4. Exceptions to the Doctrine of Privity of Contract [Asked in May 2026]

The doctrine of privity of contract means that only a party to a contract can sue upon it; a stranger to a contract cannot enforce it even if it is made for his benefit [*Dunlop Pneumatic Tyre Co. v. Selfridge & Co.*]. In India, however, a stranger to the consideration can sue, since under Section 2(d) consideration may move from the promisee or any other person. Further, in the following exceptional cases, even a stranger to the contract can enforce it:

1. Beneficiary under a trust or charge: A person for whose benefit a trust or a charge on specific property has been created may enforce it, though not a party to the contract [*Khwaja Muhammad Khan v. Husaini Begum (1910)*].

2. Marriage settlement, partition or other family arrangements: Where an agreement is made in connection with marriage, partition or other family arrangements and a provision is made for the benefit of a person, he may sue although he is not a party [*Chinnaya v. Ramayya*].

3. Acknowledgement or estoppel: Where the promisor, by his conduct, acknowledges or otherwise constitutes himself as an agent of a third party, or acknowledges his liability to the third party (e.g., by part payment), the third party can sue him.

4. Assignment of a contract: The assignee of the benefit of a contract (e.g., the assignee of an insurance policy, or the official assignee of an insolvent) can sue upon it, though he was not a party to the original contract.

5. Contracts entered into through an agent: The principal can enforce contracts entered into by his agent acting within the scope of his authority.

6. Covenants running with the land: A person who purchases land with notice that the owner is bound by certain conditions or covenants affecting the land is bound by them, although he was not a party to the original agreement.

Answer 5. Exceptions to 'No Consideration, No Contract' [Section 25]

The general rule under Section 25 is that an agreement made without consideration is void.

The exceptions are:

1. Natural love and affection [Section 25(1)]: A written and registered agreement based on natural love and affection between parties standing in near relation to each other is enforceable without consideration.

2. Past voluntary services [Section 25(2)]: A promise to compensate, wholly or in part, a person who has already voluntarily done something for the promisor, or something which the promisor was legally compellable to do.

3. Time-barred debt [Section 25(3)]: A promise in writing, signed by the debtor or his authorised agent, to pay wholly or in part a debt barred by limitation.

4. Completed gifts [Explanation 1 to Section 25]: The rule does not affect the validity of any gift actually made between donor and donee.

5. Agency [Section 185]: No consideration is necessary to create an agency.

6. Bailment [Section 148]: No consideration is required to effect a contract of bailment.

7. Charitable subscription: Where the promisee, on the strength of the promised subscription, undertakes a liability (e.g., commences construction), the promise is enforceable to that extent [*Kedarnath v. Gorie Mohammad*].

Part C — Previous Year Papers — September 2026

Q6(b) — Unit 1 & Unit 2 — Privity of Contract / Rules of Consideration [6 Marks — Alternative Question]

As per the Indian Contract Act, 1872, a general rule is, "Stranger to a contract cannot file a suit in case of breach of contract". Provide the exceptions to the above rule.

OR

Describe any six legal rules regarding 'consideration' in terms of the provisions of The Indian Contract Act, 1872.

The paper offers a choice between two questions; both are answered below for completeness.

Option (i): Exceptions to "Stranger to a contract cannot sue." [Marks: 6]

(REFER TO ANSWER 04 GIVEN ABOVE IN PART B)

Option (ii): Any six rules of 'Consideration' under the Indian Contract Act, 1872 [Marks: 6]

1. Consideration must move at the desire of the promisor — an act done at the instance of a third party, or voluntarily, is not good consideration (Durga Prasad v. Baldeo).

2. Consideration may move from the promisee or from any other (third) person — Indian law, unlike English law, does not require consideration to move from the promisee alone (Chinnaya v. Ramayya).

3. Consideration may be past, present, or future — Sec. 2(d) expressly recognises "has done or abstained" (past), "does or abstains" (present), and "promises to do or abstain" (future).

4. Consideration need not be adequate, but it must be real — the law does not weigh the adequacy of the bargain, but the consideration must have some value in the eyes of the law and not be illusory.

5. Consideration must be real and of some value — it must not be physically or legally impossible, uncertain, or illusory.

6. Consideration must be lawful — it must not be forbidden by law, fraudulent, injurious to a person or property, immoral, or opposed to public policy (Sec. 23); an agreement founded on unlawful consideration is void.

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UNIT 9: AGENCY

(Sections 182 to 238)

Learning Outcomes

- **Agency Foundations:** Define Agent and Principal (Sec 182) and understand the test of agency (Qui facit per alium, facit per se).
- **Capacity Rules:** Analyse who can appoint an agent and who can become an agent (Sec 183–184).
- **Creation Modes:** Examine modes of Creation of Agency (Express, Implied, Estoppel, Necessity, Ratification).
- **Delegation Types:** Distinguish clearly between Sub-Agent (Sec 191) and Substituted Agent (Sec 194).
- **Duties, Rights & Irrevocability:** Master Duties and Rights of an Agent and rules on Irrevocable Agency (Sec 202).

Overview

- **Test of Agency:** Ability to bind principal and establish privity between principal and third parties. (No consideration needed - Sec 185).
- **Creation & Ratification:** Express, Implied, Estoppel (Sec 237), Necessity (Sec 189), Ratification (Sec 196–200: full transaction, no injury to third party, full knowledge).
- **Sub-Agent vs. Substituted Agent:** Sub-Agent (Sec 191: under agent's control, no privity with principal, Delegatus non potest delegare) | Substituted Agent (Sec 194: named by agent, privity exists directly with principal).
- **Agent's Duties & Rights:** Duties: Follow instructions/customs (Sec 211), Reasonable care (Sec 212), Render accounts (Sec 213), No secret profits (Sec 215–216). Rights: Retain sums (Sec 217), Remuneration (Sec 219), Lien (Sec 221), Indemnity (Sec 222–223).
- **Irrevocable Agency (Sec 202):** Agency coupled with interest cannot be terminated to prejudice of agent's interest, even by death/insanity/insolvency.

High-Priority Topics for the Examination

1. Agency Coupled with Interest (Sec 202) — Revocation rules and validity upon death/insanity/insolvency of principal.

2. Sub-Agent vs. Substituted Agent — Distinction table & principal's liability for their acts.

3. Agent's Authority in an Emergency (Sec 189) — Perishable goods case scenarios.

4. Essentials of Valid Ratification (Sec 196–200) — Materially defective knowledge, full ratification, and third-party protection.

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5. Personal Liability of Agent (Sec 230) — Exceptions where agent is personally liable (Foreign principal, Undisclosed principal, Incompetent principal).

Note: This Unit is the longest in the chapter and ICAI draws on it both for short theory questions and for application-based problems; students should be able to reproduce the statutory lists of duties, rights, modes of creation and modes of termination accurately.

Part A — Case Studies

Question 8. Irrevocable Agency [Section 202]

M/s Zenith Textiles, owned by Mr. Arvind, was facing a temporary shortage of working capital. On 1 June 2026, Arvind borrowed ₹18,00,000 from Ms. Kavya for a period of six months.

To secure repayment, Arvind entered into an agreement appointing Kavya as his agent to sell a specifically identified consignment of 12,000 metres of premium fabric stored in Zenith Textiles' warehouse. The agreement authorised Kavya to:

- Sell the identified consignment at a price not below ₹24,00,000.
- Receive the sale proceeds directly from the purchaser.
- Retain ₹18,00,000 from the sale proceeds towards repayment of the loan.
- Pay the remaining balance to Arvind.

The agreement expressly stated that Kavya's authority would continue until her loan of ₹18,00,000 was fully recovered from the sale proceeds. On 20 June 2026, Kavya entered into a written agreement with M/s Royal Garments to sell the identified consignment for ₹25,00,000. Royal Garments paid ₹5,00,000 as an advance, and the remaining amount was payable upon delivery.

On 25 June 2026, Arvind received a more attractive offer of ₹28,00,000 from M/s Metro Fabrics. He informed Kavya that he was revoking her authority and instructed her not to deliver the goods to Royal Garments. Arvind argued that he was the owner of the fabric and could therefore revoke Kavya's agency whenever he wished.

Kavya refused to accept the revocation, stating that the agency was created to secure repayment of her loan. On 27 June 2026, Arvind entered into a second agreement with Metro Fabrics for the same consignment. Metro Fabrics knew that Kavya had been appointed to sell the identified goods for the recovery of her loan. Despite this knowledge, Metro Fabrics paid Arvind ₹10,00,000 as an advance.

On 30 June 2026, Arvind demanded that Kavya return the ₹5,00,000 advance received from Royal Garments and stop acting under the agency. Kavya refused, stating that she was entitled to complete the original sale and recover her loan.

Answer the following questions under the Indian Contract Act, 1872.

(i) Whether the agency created in favour of Kavya is an agency coupled with interest under Section 202?

(ii) Whether Arvind can revoke Kavya's authority before her loan of ₹18,00,000 is recovered?

(iii) Whether Arvind's subsequent agreement with Metro Fabrics is valid against Kavya's interest?

(iv) Whether Kavya can proceed with the sale to Royal Garments despite Arvind's attempted revocation?

(v) Whether Metro Fabrics can claim protection on the ground that it paid an advance to Arvind?

(vi) Whether Kavya is entitled to retain the ₹5,00,000 advance received from Royal Garments?

Question 9. Ratification, Excess of Authority, Sub-Agent and Personal Liability

M/s Nova Electronics appointed Mr. Aditya as its agent to purchase electronic components from suppliers on a cash-payment basis. Aditya was authorised to purchase goods up to ₹8,00,000 per transaction.

On 5 July 2026, Aditya purchased components worth ₹6,00,000 from M/s Techno Parts on credit for 60 days, even though he had no authority to purchase on credit. He also agreed to pay an additional ₹40,000 as a late-payment charge if Nova Electronics failed to pay within the agreed period.

Aditya did not immediately inform Nova Electronics about the credit purchase. However, after receiving the goods, Nova used the entire stock in its manufacturing process. On 15 July 2026, Nova's managing director wrote to Techno Parts: "We confirm that the goods purchased by Aditya are accepted by Nova Electronics, and payment will be made within 60 days."

Later, Nova authorised Aditya to arrange the transportation of finished goods worth ₹12,00,000 to a customer in Mumbai. Aditya appointed his friend Rakesh as a sub-agent without informing Nova. Rakesh negligently stored the goods in an uncovered area, resulting in damage worth ₹2,00,000.

The customer refused to accept the damaged goods and claimed compensation from Nova Electronics.

Answer the following questions under the Indian Contract Act, 1872.

(i) Whether Nova Electronics is bound by Aditya's purchase of components on credit?

(ii) Whether Nova Electronics is liable to pay the additional late-payment charge of ₹40,000?

(iii) Whether Aditya was authorised to appoint Rakesh as a sub-agent?

(iv) Whether Aditya is liable to Nova Electronics for the loss caused by Rakesh?

(v) Whether Nova Electronics is liable to the customer for the damaged goods?

Question 10. Authority, Notice of Termination, Agent's Duties and Third-Party Rights

Ms. Meera appointed Mr. Kunal as her agent to sell 500 office chairs at a minimum price of ₹3,000 per chair. Kunal was authorised to sell the chairs for cash or credit only to customers with a satisfactory financial record.

On 1 September 2026, Kunal entered into a credit sale agreement with M/s Office World for 500 chairs at ₹3,200 per chair. Office World had a strong financial record, and the sale was made within Kunal's authority.

On 5 September 2026, Meera sent Kunal a letter terminating his agency because she had decided to sell the remaining goods herself. The letter reached Kunal on 8 September 2026.

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On 6 September 2026, before receiving the termination letter, Kunal entered into another sale agreement with M/s Workspace Solutions for 100 additional chairs at ₹3,100 per chair. Workspace Solutions had no knowledge of Meera's decision to terminate Kunal's authority.

On 9 September 2026, Kunal received the termination letter. Despite the termination, he entered into a new sale agreement with M/s Office Deals on 10 September 2026. Office Deals had been informed about the termination by Meera on 8 September 2026.

Meanwhile, Kunal had received ₹4,00,000 from Office World as an advance on the first sale. Meera demanded the entire amount immediately but Kunal refused to provide detailed accounts, stating that he would submit the accounts only after all pending sales were completed.

Questions

(i) Whether Kunal's sale to Workspace Solutions on 6 September 2026 binds Meera?

(ii) Whether Kunal's sale to Office Deals on 10 September 2026 binds Meera?

(iii) Whether Kunal was required to render accounts before all sales were completed?

(iv) Whether Meera is entitled to receive the ₹4,00,000 advance received by Kunal?

(v) Whether Kunal is entitled to retain the entire advance until all pending sales are completed?

Part B — Descriptive Questions

Question 11. Explain the meaning of ratification and state the essentials of a valid ratification under the Indian Contract Act, 1872.

Question 12. State the rights of an agent under the Indian Contract Act, 1872.

Question 13. An agent is ordinarily neither able to enforce, nor personally bound by, contracts entered into by him on behalf of his principal. State the exceptional cases in which an agent is personally liable to third parties under the Indian Contract Act, 1872.

Question 14. State the modes in which an agency may be terminated under the Indian Contract Act, 1872, and explain when an agency becomes irrevocable.

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Suggested Answers — Part A

Answer 8. Termination of Agency, Irrevocable Agency and Effects of Termination

(i) Whether the agency created in favour of Kavya is an agency coupled with interest?

***Provision*:** Section 202 provides that where the agent has an interest in the property that forms the subject matter of the agency, the agency cannot, in the absence of an express contract, be terminated to the prejudice of that interest.

Such an agency is called an agency coupled with interest. The agent must have a legally recognised interest in the subject matter of the agency itself. A mere right to receive commission is not sufficient.

***Application*:** Arvind borrowed ₹18,00,000 from Kavya. He specifically appointed Kavya to sell the identified consignment of fabric and authorised her to retain ₹18,00,000 from the sale proceeds towards repayment of the loan. Kavya's authority was expressly linked to the recovery of her loan. Therefore, she had an interest in the sale proceeds arising from the identified consignment. Her interest was not merely a right to receive commission for acting as an agent.

The agency was created to protect Kavya's right to recover the loan from the subject matter of the agency.

Conclusion: YES, the agency is coupled with interest under Section 202 because Kavya had a direct interest in the sale proceeds of the specifically identified consignment for recovery of her loan.

(ii) Whether Arvind can revoke Kavya's authority before her loan is recovered?

Provision: Under Section 202, an agency coupled with interest cannot be terminated by the principal to the prejudice of the agent's interest, unless there is an express contractual provision permitting such termination.

Section 203 generally permits revocation of an agent's authority by the principal. However, this right is subject to the protection provided under Section 202.

***Application*:** Arvind appointed Kavya to sell the identified consignment and recover ₹18,00,000 from the sale proceeds. The agreement expressly stated that Kavya's authority would continue until her loan was fully recovered.

The loan had not been recovered when Arvind attempted to revoke the agency. Revocation at this stage would prevent Kavya from exercising the authority granted to her for recovering her loan and would prejudice her interest.

There is no fact indicating that the agreement permitted Arvind to revoke the agency before Kavya's loan was recovered.

***Conclusion*:** NO, Arvind cannot revoke Kavya's authority to her prejudice before her loan is recovered because the agency is coupled with interest under Section 202.

(iii) Whether Arvind's subsequent agreement with Metro Fabrics is valid against Kavya's interest?

***Provision*:** Under Section 202, an agency coupled with interest cannot be terminated to the prejudice of the agent's interest. A principal cannot defeat the agent's secured interest by subsequently dealing

with the subject matter in a manner that prevents the agent from exercising the authority necessary to protect that interest.

***Application*:** Arvind had already appointed Kavya to sell the identified consignment and recover her loan from the sale proceeds. Before the loan was recovered, he entered into a second agreement with Metro Fabrics for the same consignment. The second agreement was entered into after Kavya had been appointed and after she had entered into a sale agreement with Royal Garments. Arvind's subsequent transaction attempts to divert the same goods and sale proceeds away from Kavya.

Therefore, the second agreement prejudices Kavya's existing interest in the subject matter of the agency.

***Conclusion*:** NO, Arvind's subsequent agreement cannot defeat Kavya's protected interest in the identified consignment because the agency could not be terminated to her prejudice under Section 202.

(iv) Whether Kavya can proceed with the sale to Royal Garments despite Arvind's attempted revocation?

***Provision*:** Section 202 protects an agency coupled with interest from termination to the prejudice of the agent's interest. Additionally, under Section 204, when an agency has been partly exercised, the principal cannot revoke the authority with respect to acts and obligations that have already arisen from acts performed.

***Application*:** Kavya entered into a written agreement with Royal Garments on 20 June 2026, before Arvind attempted to revoke her authority on 25 June 2026. Royal Garments had also paid ₹5,00,000 as an advance.

Therefore, Kavya had already partly exercised her authority by entering into the sale agreement. Contractual obligations had arisen from her act before the attempted revocation.

Further, the agency was coupled with Kavya's interest in recovering her loan. Arvind's attempted revocation could not terminate the agency to the prejudice of that interest.

Conclusion: YES, Kavya can proceed with the sale to Royal Garments because the agency was coupled with interest and the sale agreement had already been entered into before Arvind attempted to revoke her authority.

(v) Whether Metro Fabrics can claim protection on the ground that it paid an advance to Arvind?

***Provision*:** Under Section 208, termination of an agent's authority takes effect against the agent and third parties only when it becomes known to them. However, where the principal attempts to deal with property in violation of an agency coupled with interest, the principal cannot defeat the agent's protected interest under Section 202.

A third party's knowledge of the agent's existing interest is relevant when determining whether the third party can rely on the principal's subsequent transaction.

***Application*:** Metro Fabrics knew that Kavya had been appointed to sell the identified goods for the recovery of her ₹18,00,000 loan. Despite this knowledge, Metro Fabrics entered into an agreement with Arvind for the same consignment.

Metro Fabrics therefore had knowledge of Kavya's existing agency and her interest in the sale proceeds. Its payment of ₹10,00,000 to Arvind does not remove the effect of the prior agency or give it a right to defeat Kavya's protected interest.

***Conclusion*:** NO, Metro Fabrics cannot claim protection merely because it paid an advance to Arvind, since it knew about Kavya's existing agency and her interest in the identified consignment.

(vi) Whether Kavya is entitled to retain the ₹5,00,000 advance received from Royal Garments?

***Provision*:** Under Section 217, an agent may retain, out of money received on behalf of the principal, amounts due to the agent for advances made, expenses properly incurred and remuneration payable.

The agent must act in accordance with the terms of the agency and account for the remaining amount to the principal.

***Application*:** Kavya received ₹5,00,000 as an advance from Royal Garments under the sale agreement. The agency agreement authorised her to retain the sale proceeds towards recovery of her ₹18,00,000 loan.

However, the ₹5,00,000 advance is only part of the total sale consideration of ₹25,00,000. Kavya is entitled to apply the amount towards the secured loan in accordance with the agency agreement, but she cannot treat the entire amount as her unrestricted personal property. She must account for the transaction and apply the proceeds according to the agreed terms.

***Conclusion*:** YES, Kavya can retain and apply the ₹5,00,000 advance towards recovery of her loan, as authorised by the agency agreement. However, she must account for the amount and deal with the remaining sale proceeds according to the agreement.

Answer 9. Ratification, Excess of Authority, Sub-Agent and Personal Liability

(i) Whether Nova Electronics is bound by the credit purchase?

***Provision*:** Under Sections 196 and 197, a principal may ratify an act performed by an agent without authority. Ratification may be express or implied.

Once validly ratified, the unauthorised act has the same effect as if it had been performed with authority.

***Application*:** Aditya was authorised to purchase goods on a cash-payment basis but purchased the components on credit. Therefore, he exceeded his authority. Nova Electronics subsequently accepted the goods, used them in its manufacturing process and expressly confirmed to Techno Parts that it accepted the purchase and would make payment within 60 days. Nova's written confirmation amounts to express ratification of the credit purchase.

***Conclusion*:** YES, Nova Electronics is bound by the credit purchase because it expressly ratified Aditya's unauthorised act under Sections 196 and 197.

(ii) Whether Nova Electronics is liable to pay the additional late-payment charge of ₹40,000?

***Provision*:** Section 198 provides that valid ratification requires the person ratifying the act to have knowledge of the material facts of the transaction. Under Section 199, where an unauthorised act consists of several connected transactions, the principal must ratify the whole transaction or reject the whole transaction.

***Application*:** Aditya agreed to pay ₹40,000 as a late-payment charge while purchasing the components on credit. Nova's written confirmation accepted the credit purchase and stated that payment would be made within 60 days. The facts do not state that Nova knew about the additional late-payment charge when it issued the confirmation. The charge is a material term of the credit arrangement.

Therefore, Nova's confirmation of the purchase, without knowledge of the additional charge, does not establish valid ratification of that separate material term.

***Conclusion*:** NO, Nova Electronics is not bound by the ₹40,000 late-payment charge merely because it ratified the purchase, since the facts do not establish that it ratified that material term with knowledge of it.

(iii) Whether Aditya was authorised to appoint Rakesh as a sub-agent?

***Provision*:** Section 190 provides that an agent cannot delegate acts that they have undertaken to perform personally, unless delegation is permitted by the terms of the agency, trade custom or an unforeseen emergency. Section 194 applies when an agent has authority to appoint another person to act for the principal in a particular part of the business.

***Application*:** Nova authorised Aditya to arrange transportation of the finished goods. The facts do not state that Aditya was required to personally transport the goods. Arranging transportation may involve appointing a suitable transporter or another person for the task. However, Aditya appointed his friend Rakesh without informing Nova. The question is whether Aditya had authority to appoint a sub-agent or whether he merely had authority to select a suitable transporter.

Since the facts do not provide any express permission, trade custom or emergency justifying delegation of the agency itself, Aditya was not authorised to appoint Rakesh as a sub-agent to exercise his own delegated authority.

***Conclusion*:** NO, Aditya was not authorised to appoint Rakesh as a sub-agent because no authority to delegate the agency has been established.

(iv) Whether Aditya is liable to Nova for the loss caused by Rakesh?

***Provision*:** Section 193 provides that where an agent appoints a person as a sub-agent without authority, the agent is responsible for the acts of that person both to the principal and to third parties.

***Application*:** Aditya appointed Rakesh without authority to delegate the agency. Rakesh negligently stored the goods, causing damage of ₹2,00,000. Since Rakesh was appointed without authority, Aditya is responsible to Nova for the consequences of Rakesh's acts.

***Conclusion*:** YES, Aditya is liable to Nova Electronics for ₹2,00,000 because he appointed Rakesh as a sub-agent without authority and the sub-agent caused the loss through negligence.

(v) Whether Nova Electronics is liable to the customer for the damaged goods?

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***Provision*:** Section 226 provides that contracts entered into through an agent, and obligations arising from acts done by the agent, have the same legal consequences as if the contracts had been entered into and the acts had been done by the principal personally. Section 238 provides that misrepresentations or fraud committed by an agent in the course of the business of the agency have the same effect on agreements made through the agent as if they had been committed by the principal.

***Application*:** Aditya was authorised to arrange the transportation of Nova's finished goods. The transportation arrangement was therefore connected with the business of the agency. The goods were damaged during storage by Rakesh, who was appointed by Aditya while acting in connection with the transportation arrangement. Nova's customer suffered loss because the goods were delivered in damaged condition.

The contractual transportation arrangement was made on behalf of Nova, and Nova is responsible for the obligations arising from that authorised business transaction.

***Conclusion*:** YES, Nova Electronics is liable to the customer for obligations arising from the authorised transportation arrangement, although Nova may recover the loss from Aditya in accordance with the applicable rules governing the unauthorised sub-agent.

Answer 10. Authority, Notice of Termination, Agent's Duties and Third-Party Rights

(i) Whether Kunal's sale to Workspace Solutions binds Meera?

***Provision*:** Section 208 provides that termination of an agent's authority does not take effect against the agent before it becomes known to the agent. It also does not take effect against third parties before it becomes known to them.

***Application*:** Meera's termination letter reached Kunal on 8 September 2026. Kunal entered into the sale agreement with Workspace Solutions on 6 September 2026, before he received the termination letter. Workspace Solutions had no knowledge of Meera's decision to terminate Kunal's authority. Therefore, the termination was not known to either Kunal or the third party when the transaction took place.

***Conclusion*:** YES, the sale to Workspace Solutions binds Meera because the termination of Kunal's authority was not known to Kunal or the third party at the time of the sale.

(ii) Whether Kunal's sale to Office Deals binds Meera?

***Provision*:** Under Section 208, termination of an agent's authority takes effect against third parties when it becomes known to them. A third party who has knowledge of the termination cannot treat the agent as continuing to have authority on the basis of the earlier agency.

***Application*:** Kunal received the termination letter on 9 September 2026. He entered into the agreement with Office Deals on 10 September 2026. Meera had already informed Office Deals about the termination on 8 September 2026. Therefore, Office Deals had knowledge that Kunal's authority had been terminated before entering into the transaction.

***Conclusion*:** NO, the sale to Office Deals does not bind Meera on the basis of Kunal's former authority because Office Deals knew about the termination before entering into the agreement.

(iii) Whether Kunal was required to render accounts before all sales were completed?

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***Provision*:** Section 213 provides that an agent must render proper accounts to the principal on demand. The agent cannot postpone the duty to provide proper accounts merely because other transactions of the agency remain incomplete.

***Application*:** Kunal received ₹4,00,000 from Office World as an advance. Meera demanded the accounts, but Kunal refused to provide them until all pending sales were completed.

The principal has made a demand for accounts. Kunal must therefore provide proper details of the money received and transactions conducted. He cannot postpone this duty until the entire agency business is completed.

***Conclusion*:** NO, Kunal cannot postpone rendering accounts until all sales are completed because Section 213 requires him to render proper accounts when demanded by the principal.

(iv) Whether Meera is entitled to receive the ₹4,00,000 advance received by Kunal?

***Provision*:** Section 218 provides that an agent must pay to the principal all sums received on the principal's account, subject to lawful deductions.

Section 217 allows an agent to retain amounts due for advances, properly incurred expenses and remuneration, subject to the statutory conditions.

***Application*:** Kunal received ₹4,00,000 from Office World as an advance on behalf of Meera. The amount was received in connection with the agency business and belongs to the principal, subject to any lawful amount that Kunal is entitled to retain.

Meera is therefore entitled to receive the amount after accounting for any valid deductions.

***Conclusion*:** YES, Meera is entitled to receive the ₹4,00,000 advance, subject to any lawful deductions permitted under Section 217.

(v) Whether Kunal is entitled to retain the entire advance until all pending sales are completed?

***Provision*:** Section 217 permits an agent to retain, out of sums received on behalf of the principal, amounts due for advances, and properly incurred expenses and remuneration. Section 218 requires the agent to pay the balance of sums received on the principal's account to the principal.

***Application*:** Kunal received ₹4,00,000 as an advance from Office World. He has not established that the entire amount is due to him as remuneration, expenses or repayment of advances.

Therefore, Kunal cannot retain the entire advance merely because some sales remain pending. He may retain only amounts legally due to him and must pay the balance to Meera.

***Conclusion*:** NO, Kunal cannot retain the entire ₹4,00,000 advance until all pending sales are completed. He can retain only lawful deductions and must pay the remaining amount to Meera.

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Suggested Answers — Part B

Answer 11. Essentials of a Valid Ratification

Under Section 196, where acts are done by one person on behalf of another, but without his knowledge or authority, that other may elect either to ratify or to disown such acts; if he ratifies them, the same effects follow as if they had been performed by his authority. Ratification thus means approving a previous act or transaction. The essentials of a valid ratification are:

1. Ratification may be express or implied [Section 197]: It may be expressed, or implied in the conduct of the person on whose behalf the acts were done.

2. Knowledge must not be materially defective [Section 198]: No valid ratification can be made by a person whose knowledge of the facts of the case is materially defective.

3. The whole transaction must be ratified [Section 199]: There can be ratification of an act in its entirety or its rejection in its entirety; the principal cannot ratify the part of the transaction which is beneficial to him and reject the rest.

4. Ratification cannot injure a third person [Section 200]: Where the interest of third parties is affected, the principle of ratification does not apply, and ratification cannot relate back to the date of the contract if a third party has in the intervening time acquired rights.

5. Ratification within a reasonable time: It must be made within a reasonable period of time.

6. Communication of ratification: It must be communicated to the other party.

7. The act ratified must be valid: The act to be ratified must not be void or illegal, such as payment of dividend out of capital, forgery of signatures, a criminal offence, or anything not permitted under law.

Answer 12. Rights of an Agent

1. Right to retain out of sums received on the principal's account [Section 217]: The agent may retain, out of any sums received on account of the principal in the business of the agency, all moneys due to himself in respect of advances made, the expenses properly incurred by him in conducting such business, and the remuneration payable to him for acting as agent.

2. Right to remuneration [Sections 219 and 220]: The agent is entitled to the agreed remuneration or, in its absence, to the usual remuneration customary in the business; but an agent guilty of misconduct is not entitled to any remuneration in respect of that part of the business which he has misconducted.

3. Agent's lien on the principal's property [Section 221]: In the absence of a contract to the contrary, the agent may retain the goods, papers and other property of the principal, whether movable or immovable, received by him, until the amount due to him for commission, disbursement and services in respect of the same has been paid or accounted for.

4. Right of indemnification for lawful acts [Section 222]: The principal is bound to indemnify the agent against the consequences of all lawful acts done in exercise of his authority.

5. Right of indemnification against acts done in good faith [Section 223]: Where the agent acts in good faith on the instructions of the principal, he is entitled to be indemnified against any resulting loss or

damage; but no indemnity can be claimed for acts done in violation of the penal laws of the country, nor, under Section 224, for a criminal act.

6. Right to compensation for injury caused by the principal's neglect [Section 225]: The principal must compensate his agent in respect of injury caused to him by the principal's own neglect or want of skill.

Answer 13. Personal Liability of an Agent to Third Parties

Under Section 230, in the absence of any contract to that effect, an agent can neither personally enforce contracts entered into by him on behalf of his principal, nor is he personally bound by them; he can neither sue nor be sued upon them. In the following exceptional cases, however, the agent is presumed to have agreed to be personally bound:

1. Foreign principal: Where the contract is made by the agent for the sale or purchase of goods for a merchant resident abroad, the presumption is that the agent undertakes to be personally liable for the performance of the contract.

2. Undisclosed or unnamed principal: Where the agent does not disclose the name of his principal, the presumption is that he himself undertakes to be personally liable.

3. Non-existent or incompetent principal: Where the principal, though disclosed, cannot be sued — as where the agent contracts for a minor — the agent is presumed to be personally liable; this may not follow where the other party already knows that the principal is a minor.

4. Pretended agent [Section 235]: Where a person pretends to be an agent but is not in fact one, and the principal does not ratify but disowns the act, the pretended agent is himself liable.

5. Where the agent exceeds his authority: Where the agent exceeds his authority and misleads the third person into believing that he has the requisite authority, he may be made personally liable for breach of warranty of authority.

In cases where the agent is personally liable, Section 233 permits the person dealing with him to hold either the agent or the principal, or both of them, liable.

Answer 14. Termination of Agency and Irrevocable Agency

Termination of agency means putting an end to the legal relationship between principal and agent. Section 201 provides the following modes of termination:

1. Revocation by the principal: The principal may revoke the agent's authority at any time before it has been exercised so as to bind him [Section 203], but not after it has been partly exercised, so far as regards obligations arising from acts already done [Section 204]. Premature revocation without sufficient cause obliges him to compensate the agent [Section 205], and reasonable notice of revocation must be given [Section 206].

2. Renunciation by the agent [Section 206]: The agent may renounce the business of the agency in the same manner in which the principal may revoke, on reasonable notice, and must compensate the principal for a premature renunciation without sufficient cause.

3. Completion of the business: The agency terminates automatically and by operation of law when the business of the agency is completed.

4. Death or insanity of the principal or the agent: The agency is determined automatically; winding up of a company or dissolution of a partnership has the same effect. Acts done by the agent before the death remain binding.

5. Insolvency of the principal: The agency ends on the principal being adjudicated insolvent.

6. Expiry of time: Where the agent was appointed for a fixed term, the expiry of the term ends the agency, whether or not its purpose has been accomplished.

When is an agency irrevocable: Under Section 202, where the agent has himself an interest in the property which forms the subject matter of the agency, the agency cannot, in the absence of an express contract, be terminated to the prejudice of such interest. Such an agency coupled with interest is irrevocable and does not come to an end even on the death, insanity or insolvency of the principal.

Part C — Previous Year Papers — May 2026

Q.1. (a) (7 marks)

The question below is reproduced in full as it was set in the May 2026 examination. It is a composite question: sub-part (i) is answered from the law of offer and acceptance in Units 1 and 2, while sub-parts (ii) and (iii) turn on the law of agency in this Unit. Answers to all three sub-parts are given in the suggested answers that follow.

Rakesh intending to sell his used car, approached his friend to suggest the name of a reliable used car broker who can help to sell his car. His friend recommended the name of Vikash, a renowned and reliable broker. Vikash inspected the vehicle and there on the spot Rakesh informed Vikash that he has decided to sell the car for ₹12 Lakhs. He also informed Vikash that anyone who will be interested must give a token advance amount of ₹5 Lakhs at the time of the deal and to pay the balance amount of ₹7 Lakhs at the time of delivery of the vehicle.

Vikash brought a potential customer Ravi for inspection of the vehicle, who inspected the same along with a mechanic brought by him. He was satisfied with the condition of the car. When Ravi informed Vikash about his interest, he came to know about the price of the car offered by Rakesh. Ravi told Vikash that he was prepared to purchase the car only for a total consideration of ₹10 Lakhs and immediately transferred an amount of ₹5 lakhs to Vikash's Bank Account through NEFT as advance, which was immediately transferred by Vikash to Rakesh.

After a week when the parties met to conclude the sale, Ravi issued another cheque for only ₹5 lakhs as the final payment, which Rakesh rejected. Vikash tried to convince Rakesh that the condition of the car is such that it would not fetch more than ₹10 Lakhs. But Rakesh did not agree with Vikash.

Analysing the applicable provisions of the Indian Contract Act, 1872, answer the following questions as per the information given above:

(i) Whether there is a legally valid and enforceable contract in this case. [3 Marks]

(ii) Briefly discuss the remedies available to Rakesh in this situation. [2 Marks]

(iii) What if Vikash (the broker) never actually (though unintentionally) told Ravi about the price of ₹12 Lakhs, however received ₹5 Lakhs anyway? [2 Marks]

(i) Whether there is a legally valid and enforceable contract [3 Marks]

Provision: Under Section 2(b) read with Section 7, an acceptance must be absolute and unqualified; a modification of the terms, or the addition of a new condition, converts the acceptance into a counter-offer. A counter-offer rejects and extinguishes the original offer (Hyde v. Wrench). Under Section 13, two or more persons are said to consent when they agree upon the same thing in the same sense, that is, there must be consensus ad idem.

Application: Rakesh offered to sell the car for ₹12 lakhs. Ravi proposed to purchase it for ₹10 lakhs; consequently, Rakesh's original offer to sell the car for ₹12 lakhs came to an end the moment Ravi proposed to buy it for ₹10 lakhs, a counter-offer operating as a rejection of the original offer. The parties never agreed upon the same price, and there was no meeting of minds on the essential term of price as required by Section 13.

Conclusion: No legally valid contract was formed. The transaction is void for want of agreement on essential terms.

(ii) Remedies available to Rakesh [2 Marks]

1. Right to refuse delivery: Rakesh is not bound to deliver the car for ₹10 lakhs.

2. Refund of the advance: He must refund the ₹5 lakhs advance to Ravi.

3. Remedy against the agent, Vikash: An agent is bound to conduct the business of the agency according to the principal's directions [Section 211], and where an agent exceeds his authority and the excess cannot be separated from what is within it, the principal is not bound [Section 228]. Vikash having exceeded his authority, Rakesh may hold him liable for negligence or breach of duty.

4. Right to sell to another buyer: Ownership having never passed to Ravi, Rakesh remains the lawful owner and may sell the car to another buyer.

5. Suit for specific performance or damages: As no contract existed, specific performance is not applicable; had Ravi's counter-offer been accepted and then broken, Rakesh could have sued for damages under Section 73.

(iii) If Vikash never told Ravi of the price of ₹12 lakhs [2 Marks]

Being an agent and broker, Vikash had a duty to communicate the principal's terms correctly. A failure to do so, even unintentionally, amounts to misrepresentation under Section 18 of the Act, and his negligence may make him liable to Rakesh; but Rakesh still cannot be compelled to sell the car for ₹10 lakhs. Ravi may rescind the contract on the ground of misrepresentation, having been induced to pay ₹5 lakhs without full knowledge of the asking price, and is entitled to recover the ₹5 lakhs paid, the transaction having been based on incomplete information; he is not bound by any contract entered into without knowing the true selling price. Vikash would thus be liable both to Rakesh, for breach of his duty as agent, and to Ravi.

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END OF SAMPLE

What the Complete Question Bank Covers

You have just worked through Unit 2 and part of Unit 9. The complete Part 1 applies the same structure to every unit of the Indian Contract Act, 1872:

- Unit 1 — Nature of Contracts
- Unit 2 — Consideration
- Unit 3 — Other Essential Elements of a Contract
- Unit 4 — Performance of Contract
- Unit 5 — Breach of Contract and its Remedies
- Unit 6 — Contingent and Quasi Contracts
- Unit 7 — Contract of Indemnity and Guarantee
- Unit 8 — Bailment and Pledge
- Unit 9 — Agency

In every unit

- Unit Overview, Learning Outcomes and High-Priority Topics for the Examination
- Part A — application-based case studies
- Part B — descriptive questions
- Suggested answers in the Provision → Application → Conclusion format
- Part C — solved questions from the September 2026 and May 2026 papers, where relevant

95 questions with model answers across the nine units — 57 case studies and 38 descriptive questions.

Part 2 covers the Indian Regulatory Framework, the Sale of Goods Act, 1930, the Indian Partnership Act, 1932, the LLP Act, 2008, the Companies Act, 2013 and the Negotiable Instruments Act, 1881.

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About This Question Bank

Studying **Business Laws** is not just about understanding the provisions. The real challenge begins when you have to apply those provisions to a new set of facts and frame the answer correctly.

The ICAI Study Material, RTPs, MTPs and Previous Year Papers form the foundation of your preparation. But sometimes, you simply need **more questions to practise, more situations to analyse and more opportunities to test your understanding.**

That is where the Smart Revision Question Bank steps in.

Designed as a supplementary practice resource for CA Foundation students, this question bank takes you beyond reading and into **active application of law** through carefully structured questions and detailed solutions.

WHAT'S INSIDE

- **95 questions with model answers**
  across all 9 units of the Indian Contract Act, 1872
- **57 application-based case studies**
  that test how provisions apply to new facts
- **38 descriptive questions**
  covering definitions, distinctions and short notes
- **9 solved questions from Indian Contract Act from Sept 2026 and May 2026**
  question papers, placed unit wise
- **Unit Overview, Learning Outcomes and High-Priority Topics**
  at the start of every unit
- **Provision → Application → Conclusion**
  every answer is written the way marks are awarded
- **Answers at the end of each unit,**
  so you attempt first and check while it's fresh

THE IDEA BEHIND THE BOOK

Learn the provision. Understand the facts. Apply the law. Frame the conclusion.

Because knowing the law is only the beginning.
The real preparation begins when you learn to apply it.

PART 2 OF THE SMART REVISION QUESTION BANK

Covers the remaining enactments of the CA Foundation Business Laws syllabus:

- **The Sale of Goods Act, 1930**
- **The Indian Partnership Act, 1932**
- **The Limited Liability Partnership Act, 2008**
- **The Companies Act, 2013**
- **The Negotiable Instruments Act, 1881**
- **The Indian Regulatory Framework**